



PROBABILITY THEORY

MTM2592-Gr:2

9TH WEEK

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SPECIAL PROBABILITY DISTRIBUTIONS

A probability function is denoted in a general form

$$f(X; p_1, p_2, \dots, p_k)$$

where X is a random variable and $p_1, p_2, \dots, p_k$ are called distribution parameters.

1. THE DISCRETE UNIFORM DISTRIBUTION

If a random variable can take on n different values with equal probability, we say that it has a **discrete uniform distribution**; symbolically, we have the following definition.

Definition: If the random variable X takes the values $x_1, x_2, \dots, x_n$ with equal probabilities, then the discrete uniform distribution is given by

$$f(x; n) = \frac{1}{n}; \quad x = x_1, x_2, \dots, x_n$$

Expected Value and Variance Of The Discete Uniform Distribution

$$E(X) = \mu = \sum_{x=1}^n x.f(x;n) = \sum_{x=1}^n x \cdot \frac{1}{n} = \frac{\sum_{x=1}^n x}{n}$$

$$\sum_{x=1}^n x = 1 + 2 + 3 + \dots + n = \frac{n(n+1)}{2}$$

$$E(X) = \frac{1}{n} \cdot \frac{n(n+1)}{2} = \frac{n+1}{2}$$

$$E(X^2) = \sum_{x=1}^n x^2.f(x;n) = \sum_{x=1}^n x^2 \cdot \frac{1}{n} = \frac{\sum_{x=1}^n x^2}{n}$$

$$\sum_{x=1}^n x^2 = 1^2 + 2^2 + 3^2 + \dots + n^2 = \frac{n(n+1)(2n+1)}{6}$$

$$E(X^2) = \frac{1}{n} \cdot \frac{n(n+1)(2n+1)}{6} = \frac{(n+1)(2n+1)}{6}$$

$$\text{Var}(X) = E(X^2) - [E(X)]^2 = \frac{(n+1)(2n+1)}{6} - \left[\frac{n+1}{2} \right]^2 = \frac{n^2 - 1}{12}$$

Example: There are 10 identical balls numbered 1 to 10 in a bag. If X random variable shows the number of the balls,

a) What is the probability function of X ?

b) $E(X)=?$, $Var(X)=?$

Solution: Since the probability of selecting balls is equal

$$f(x; n) = \frac{1}{n}; \quad x = x_1, x_2, \dots, x_n$$

$$a) \quad f(x; 10) = \begin{cases} \frac{1}{10}; & x = 1, 2, \dots, 10 \\ 0, & \text{elsewhere} \end{cases}$$

$$b) \quad E(X) = \mu = \frac{n+1}{2} = \frac{10+1}{2} = 5,5$$

$$Var(X) = \frac{n^2 - 1}{12} = \frac{100 - 1}{12} = 8,25$$

2. THE BERNOULLI DISTRIBUTION

Let an experiment consist of repeated trials and each trial be independent. If each trial **has two possible outcomes**, i.e. Success or failure, each trial is called a Bernoulli trial. If the probability of an outcome is denoted by p , the Bernoulli distribution is given by

$$f(x; p) = p^x (1-p)^{1-x} \quad x = 0, 1$$

There is only one parameter p ,

X: Number of successes in a Bernoulli experiment;

$$p+q=1$$

$$f(x; p) = \begin{cases} 1-p = q, & x = 0 \\ p, & x = 1 \\ 0, & \text{Other cases} \end{cases}$$

$$\text{i) } f(x; p) = p^x (1-p)^{1-x} \geq 0$$

$$\text{ii) } \sum_{x=0}^1 f(x; p) = \sum_{x=0}^1 p^x q^{1-x} = q + p = 1$$



Probability distribution

Note:

- There are only two possible results;
- The probability of occurrence of these results does not change from experiment to experiment

Moment Generating Function, Expected Value and Variance Of The Bernoulli Distribution

$$\begin{aligned} \text{a) } M(t) &= E[e^{tX}] = \sum_{x=0}^1 e^{tx} f(x; p) = \sum_{x=0}^1 e^{tx} p^x (1-p)^{1-x} \\ &= e^{t0} p^0 (1-p)^{1-0} + e^{t1} p^1 (1-p)^{1-1} \\ &= (1-p) + e^t \cdot p = q + e^t \cdot p \end{aligned}$$

If we differentiate $M(t)$ first time and then set $t=0$, we obtain the first moment of X .

$$M'(t) = e^t \cdot p$$

$$M'(0) = p$$

$$E(X) = \mu = p$$

The second moment is obtained by taking the second derivative of the moment generating function with respect to t , and then set $t=0$;

$$M''(t) = e^t \cdot p$$

$$M''(0) = p$$

$$E(X^2) = p$$

So variance;

$$\begin{aligned}\text{Var}(X) &= M''(0) - [M'(0)]^2 \\ &= p - p^2 = p(1-p) = pq\end{aligned}$$

b) By using the definition of the expected value and variance of an X random variable,

$$\begin{aligned}E(X) &= \sum_{x=0}^1 x \cdot f(x; p) = \sum_{x=0}^1 x \cdot p^x (1-p)^{1-x} \\ &= 0 \cdot p^0 (1-p)^{1-0} + 1 \cdot p^1 (1-p)^{1-1} = p\end{aligned}$$

$$\begin{aligned}E(X^2) &= \sum_{x=0}^1 x^2 \cdot f(x; p) = \sum_{x=0}^1 x^2 \cdot p^x (1-p)^{1-x} \\ &= 0 \cdot p^0 (1-p)^{1-0} + 1 \cdot p^1 (1-p)^{1-1} = p\end{aligned}$$

$$\text{Var}(X) = E(X^2) - [E(X)]^2 = p - p^2 = p(1-p) = pq$$

Example: The probability of going to the cinema on Sunday night is 0.3 for Mehmet. Write the probability function of Mehmet's Sunday night.

Solution:

$$f(x; 0.3) = \begin{cases} 0,7, & x = 0 \\ 0,3, & x = 1 \\ 0, & \text{Elsewhere} \end{cases}$$

$$f(x; p) = p^x (1-p)^{1-x} \quad x = 0,1$$

$$f(x; p) = \begin{cases} (0,3)^x (0,7)^{1-x} & x = 0,1 \\ 0, & \text{elsewhere} \end{cases}$$

Example: If the probability function of X random variable is given below.

$$f(x; p) = \begin{cases} \left(\frac{1}{4}\right)^x \left(\frac{3}{4}\right)^{1-x} & x = 0, 1 \\ 0, & \text{elsewhere} \end{cases}$$

Find moment generating function of X, expected value of X and variance of X.

Solution: This is a Bernoulli distribution with parameter $p=1/4$

$$f(x; p) = p^x (1-p)^{1-x} \quad x = 0, 1$$

$$M(t) = E[e^{tX}] = \sum_{x=0}^1 e^{tx} \left(\frac{1}{4}\right)^x \left(\frac{3}{4}\right)^{1-x} = \frac{3}{4} + e^t \frac{1}{4}$$

$$E(X) = p = \frac{1}{4}$$

$$\text{Var}(X) = pq = \frac{1}{4} \cdot \frac{3}{4} = \frac{3}{16}$$

3. BINOMIAL DISTRIBUTION (TWO TERM DISTRIBUTION)

Let a Bernoulli trial be repeated n times and the probability of an outcome be p . If X represents the number of successes of this outcome, then the binomial distribution is given by;

X: Number of successes in n Bernoulli experiments

$$b(x; n, p) = \binom{n}{x} p^x (1-p)^{n-x} \quad x = 0, 1, 2, \dots, n$$

n is an integer and $n \geq 1$

The binomial probability function has two parameters, such as n and p .

If $n = 1$, the Binom random variable becomes a Bernoulli random variable. The corresponding probabilities for $X = 0, 1, 2, \dots, N$,

$$b(x; n, p) = \binom{n}{x} p^x (1-p)^{n-x}$$

X	0	1	2		n
b(x;n,p)	q^n	$\binom{n}{1} p q^{(n-1)}$	$\binom{n}{2} p^2 q^{(n-2)}$		p^n

$$(p + q)^n = q^n + \binom{n}{1} p q^{(n-1)} + \binom{n}{2} p^2 q^{(n-2)} + \dots + p^n$$

The binomial random variable is 'the number of successes'.

$$\text{i) } b(x; n, p) \geq 0$$

$$\text{ii) } \sum_{x=0}^n b(x; n, p) = \sum_{x=0}^n \binom{n}{x} p^x q^{n-x} = (p + q)^n = 1$$

} Probability distribution

Moment Generating Function, Expected Value and Variance Of The Binomial Distribution

$$a) M(t) = E[e^{tX}] = \sum_{x=0}^n e^{tx} \binom{n}{x} p^x q^{n-x} = \sum_{x=0}^n \binom{n}{x} (e^t p)^x q^{n-x}$$

$e^t \cdot p = r$ taken. So

$$M(t) = \sum_{x=0}^n \binom{n}{x} r^x q^{n-x} = (r+q)^n = (pe^t + q)^n$$

Expected value and variance can be found by using moment generating function; $E(X)$ is found by setting $t = 0$ in the first moment.

$$M'(t) = n(pe^t + q)^{n-1} \cdot pe^t$$

$$M'(0) = E(X) = \mu = n \underbrace{(p+q)}_1^{n-1} \cdot p = np$$

The second moment is obtained by taking the second derivative of the moment generating function with respect to t , and by setting $t = 0$.

$$\begin{aligned} M''(t) &= n(n-1)(pe^t + q)^{n-2} \cdot pe^t \cdot pe^t + n(pe^t + q)^{n-1} \cdot pe^t \\ &= n(pe^t + q)^{n-2} \cdot pe^t \left[(n-1)pe^t + (pe^t + q) \right] \end{aligned}$$

$$= n(pe^t + q)^{n-2} \cdot pe^t \left[(n-1)pe^t + (pe^t + q) \right]$$

$$M''(0) = n(p+q)^{n-2} \cdot p \left[(n-1)p + (p+q) \right]$$

$$= np[(n-1)p + 1]$$

$$= np(np - p + 1)$$

$$= np(np + q)$$

$$= n^2 p^2 + npq$$

So variance,

$$\text{Var}(X) = M''(0) - [M'(0)]^2$$

$$= n^2 p^2 + npq - n^2 p^2 = npq$$

b) By using the definition of the expected value and variance of an X random variable,

$$\begin{aligned}
 E(X) = \mu &= \sum_{x=0}^n x \cdot b(x; n, p) = \sum_{x=0}^n x \cdot \binom{n}{x} p^x q^{n-x} \\
 &= 0 \cdot \binom{n}{0} p^0 q^{n-0} + \sum_{x=1}^n x \cdot \binom{n}{x} p^x q^{n-x} \\
 &= \sum_{x=1}^n x \cdot \binom{n}{x} p^x q^{n-x} = \sum_{x=1}^n x \cdot \frac{n!}{(n-x)!x!} p^x q^{n-x} \\
 &= \sum_{x=1}^n \frac{n(n-1)!}{(n-x)!(x-1)!} p^x q^{n-x} \\
 &= np \sum_{x=1}^n \frac{(n-1)!}{(n-x)!(x-1)!} p^{x-1} q^{n-x}
 \end{aligned}$$

By placing $n-1=m$ and $x-1=y$

$$\begin{aligned}
 &= np \sum_{y=0}^{m+1} \frac{m!}{(m-y)!y!} p^y q^{m-y} \\
 &= np[p+q]^m; \quad (p+q)^m = 1
 \end{aligned}$$

$$E(X)=np$$

$$\begin{aligned}
E(X^2) &= \sum_{x=0}^n x^2 \binom{n}{x} p^x q^{n-x} \\
&= \sum_{x=1}^n x^2 \cdot \binom{n}{x} p^x q^{n-x} \\
&= \sum_{x=1}^n x^2 \cdot \frac{n!}{(n-x)!x!} p^x q^{n-x} \\
&= \sum_{x=1}^n np x \frac{(n-1)!}{(x-1)!(n-x)!} p^{x-1} q^{n-x} \\
&= np \sum_{x=1}^n (x-1+1) \frac{(n-1)!}{(n-x)!(x-1)!} p^{x-1} q^{n-x} \\
&= np \left[\sum_{x=1}^n (x-1) \frac{(n-1)!}{(n-x)!(x-1)!} p^{x-1} q^{n-x} + \sum_{x=1}^n \frac{(n-1)!}{(n-x)!(x-1)!} p^{x-1} q^{n-x} \right]
\end{aligned}$$

The value of the second sum is 1. Because $(p+q)^{n-1}=1$.

$$\begin{aligned}
&= np \left[(n-1)p \sum_{x=2}^n \frac{(n-2)!}{(n-x)!(x-2)!} p^{x-2} q^{n-x} + 1 \right] \\
&= np \left[(n-1)p \sum_{x=2}^n \binom{n-2}{x-2} p^{x-2} q^{n-x} + 1 \right]
\end{aligned}$$

$$\sum_{x=2}^n \binom{n-2}{x-2} p^{x-2} q^{n-x} = \sum_{x=0}^n \binom{n-2}{x} p^x q^{n-x-2} = \sum_{x=0}^{n-2} \binom{n-2}{x} p^x q^{n-x-2} = (p+q)^{n-2} = 1$$

$$= np[(n-1)p+1]$$

$$= n^2 p^2 - np^2 + np$$

$$= n^2 p^2 + npq$$

$$\text{Var}(X) = E(X^2) - [E(X)]^2$$

$$= n^2 p^2 + npq - n^2 p^2$$

$$= npq$$

c) Since the binomial distribution is the sum of **n independent** Bernoulli experiments; If Y is a Bernoulli variable, $E[Y] = p$. Using properties of the expected value properties,

$$\begin{aligned} E(X) &= \mu = E\left[\sum_{i=1}^n Y_i\right] \\ &= E[Y_1 + Y_2 + \dots + Y_n] \\ &= E[Y_1] + E[Y_2] + \dots + E[Y_n] \\ &= p + p + \dots + p \\ &= np \end{aligned}$$

obtained. Using the variance properties with the same thought,

$$\begin{aligned} \text{Var}(X) &= \text{Var}\left[\sum_{i=1}^n Y_i\right] \\ &= \text{Var}[Y_1 + Y_2 + \dots + Y_n] \\ &= \text{Var}[Y_1] + \text{Var}[Y_2] + \dots + \text{Var}[Y_n] \\ &= pq + pq + \dots + pq \\ &= npq \end{aligned}$$

Sometimes it may be necessary to deal with the success rate, not the number of successes in n trials. That is, if x indicates the number of successes, the distribution of x / n variables is in question. The arithmetic mean of this distribution;

$$E\left(\frac{X}{n}\right) = \frac{1}{n} E(X) = \frac{1}{n} np = p$$

and variance

$$\text{Var}\left(\frac{X}{n}\right) = \frac{1}{n^2} \text{Var}(X) = \frac{1}{n^2} npq = \frac{pq}{n}$$

Theorem: $b(x; n, p) = b(n - x; n, 1 - p)$

Example A fair coin is tossed six times. What is the probability that exactly three heads turn up? The answer is

$$b(3,6,1/2) = \binom{6}{3} \left(\frac{1}{2}\right)^3 \left(\frac{1}{2}\right)^3 = 20 \cdot \frac{1}{64} = .3125 .$$

Example A die is rolled four times. What is the probability that we obtain exactly one 6? We treat this as Bernoulli trials with *success* = “rolling a 6” and *failure* = “rolling some number other than a 6.” Then $p = 1/6$, and the probability of exactly one success in four trials is

$$b(1,4,1/6) = \binom{4}{1} \left(\frac{1}{6}\right)^1 \left(\frac{5}{6}\right)^3 = .386 .$$

EXAMPLE

Find the probability of getting five heads and seven tails in 12 flips of a balanced coin.

Solution

Substituting $x = 5$, $n = 12$, and $p = \frac{1}{2}$ into the formula for the binomial distribution, we get

$$b\left(5; 12, \frac{1}{2}\right) = \binom{12}{5} \left(\frac{1}{2}\right)^5 \left(1 - \frac{1}{2}\right)^{12-5}$$

we find that the result is $792 \left(\frac{1}{2}\right)^{12}$, or approximately 0.19.

EXAMPLE

Find the probability that 7 of 10 persons will recover from a tropical disease if we can assume independence and the probability is 0.80 that any one of them will recover from the disease.

Solution

Substituting $x = 7$, $n = 10$, and $p = 0.80$ into the formula for the binomial distribution, we get

$$b(7; 10, 0.80) = \binom{10}{7} (0.80)^7 (1 - 0.80)^{10-7}$$

and we find that the result is $120(0.80)^7(0.20)^3$, or approximately 0.20.

Example: Let a balanced (fair) coin be tossed 5 times, find the probability that the coin comes up head

- a) Two times,
- b) At least 4 times,
- c) If this experiment is repeated n times, what is the averagely expectation of the head numbers?

Solution:
$$b(x; n, p) = \binom{n}{x} p^x (1-p)^{n-x} \quad x = 0, 1, 2, \dots, n$$

a)
$$b\left(x; 5, \frac{1}{2}\right) = \binom{5}{x} \left(\frac{1}{2}\right)^x \left(1 - \frac{1}{2}\right)^{5-x}$$

$$P(X = 2) = \binom{5}{2} \left(\frac{1}{2}\right)^2 \left(1 - \frac{1}{2}\right)^{5-2} = \frac{10}{32} \cong 0.3125$$

b)
$$\begin{aligned} P(X \geq 4) &= P(X = 4) + P(X = 5) \\ &= \binom{5}{4} \left(\frac{1}{2}\right)^4 \left(1 - \frac{1}{2}\right)^{5-4} + \binom{5}{5} \left(\frac{1}{2}\right)^5 \left(1 - \frac{1}{2}\right)^{5-5} = (5+1) \frac{1}{2^5} = 0.1875 \end{aligned}$$

c)
$$E(X) = np = n \cdot \frac{1}{2} = (0.5)n$$

Example: A doctor knows from her experiences that the probability of a patient suffering a specific disease will recover from this disease is 0.30. If 4 patients suffer from this disease, what is the probability that

- a) All of them will recover,
- b) At least 2 of them will recover?

Solution:

$$\text{a) } P(X = 4) = b(4; 4, 0.30) = \binom{4}{4} (0.30)^4 (0.70)^0 = 0.0081$$

$$\text{b) } P(X \geq 2) = P(X = 2) + P(X = 3) + P(X = 4)$$

$$= \binom{4}{2} (0.30)^2 (0.70)^2 + \binom{4}{3} (0.30)^3 (0.70)^1 + \binom{4}{4} (0.30)^4 (0.70)^0 = 0.3483$$

Example: A company is selected 120 products from a parcel of which 5% are defective. Let Y be the number of chosen defective products. If the repair cost of the defective products is given by

$$M = 8Y^2 + \frac{1}{2}Y - 10$$

Compute the expected repair cost.

Solution:

$$E(Y) = np = 120 \cdot (0,05) = 6$$

$$\text{Var}(Y) = npq = 120 \cdot (0,05) \cdot (0,95) = 5,7$$

$$E(M) = E\left(8Y^2 + \frac{1}{2}Y - 10\right) = 8E(Y^2) + \frac{1}{2}E(Y) - E(10)$$

$$\text{Var}(Y) = E(Y^2) - [E(Y)]^2 \Rightarrow 5,7 = E(Y^2) - 6^2 \Rightarrow E(Y^2) = 41,7$$

$$E(M) = 8 \cdot (41,7) + \frac{1}{2} \cdot 6 - 10 = 326,6$$

4. MULTINOMIAL DISTRIBUTION

Definition: There are n independent experiments with only two possible outcomes in the binomial distribution. Consider the fact that an experiment has more than two outcomes. If this experiment is repeated n times, then a Multinomial distribution is used. This distribution is also called Generalized Binomial Distribution.

x_1 represents the number of occurrence of A_1 ,

x_2 represents the number of occurrence of A_2 ,

.....

x_k represents the number of occurrence of A_k

then the probability $P(X_1 = x_1, X_2 = x_2, \dots, X_k = x_k)$

$$f(x_1, x_2, \dots, x_k; n, p_1, p_2, \dots, p_k) = \binom{n}{x_1, x_2, \dots, x_k} p_1^{x_1} p_2^{x_2} \dots p_k^{x_k}$$

is called Multinomial distribution.

$$\binom{n}{x_1, x_2, \dots, x_k} = \frac{n!}{x_1! x_2! \dots x_k!} \rightarrow \text{Permutation with repetition}$$

$$\text{For all } i \quad x_i \geq 0, \quad i = 1, \dots, k \quad \sum_{i=1}^k x_i = n \quad \text{ve} \quad \sum_{i=1}^k p_i = 1$$

$$E[X_i] = \mu_i = np_i \quad \text{and} \quad \text{Var}[X_i] = np_i q_i \quad i = 1, \dots, k$$

For $k = 2$, the Multinomial distribution is reduced to the binomial distribution.

EXAMPLE

A certain city has 3 newspapers, A, B, and C. Newspaper A has 50 percent of the readers in that city. Newspaper B, has 30 percent of the readers, and newspaper C has the remaining 20 percent. Find the probability that, among 8 randomly-chosen readers in that city, 5 will read newspaper A, 2 will read newspaper B, and 1 will read newspaper C. (For the purpose of this example, assume that no one reads more than one newspaper.)

$$f(x_1, x_2, \dots, x_k; n, p_1, p_2, \dots, p_k) = \binom{n}{x_1, x_2, \dots, x_k} p_1^{x_1} p_2^{x_2} \dots p_k^{x_k}$$

Solution

Substituting $x_1 = 5$, $x_2 = 2$, $x_3 = 1$, $p_1 = 0.50$, $p_2 = 0.30$, $p_3 = 0.20$, and $n = 8$ into the formula of multinomial distribution, we get

$$\begin{aligned} f(5, 2, 1; 8, 0.50, 0.30, 0.20) &= \frac{8!}{5! \cdot 2! \cdot 1!} (0.50)^5 (0.30)^2 (0.20) \\ &= 0.0945 \end{aligned}$$

Example: There are 5 black, 4 red and 2 green balls in a box. If 6 balls are selected with replacing them back, find the probability that selected balls consists of 2 black, 3 red and 1 green balls?

Solution:

$$P(X_1 = 2, X_2 = 3, X_3 = 1) = ?$$

$$n = 6$$

$$p_1 = \frac{5}{11}, \quad p_2 = \frac{4}{11}, \quad p_3 = \frac{2}{11}$$

$$X_1 + X_2 + X_3 = 6$$

$$f(x_1, x_2, \dots, x_k; n, p_1, p_2, \dots, p_k) = \binom{n}{x_1, x_2, \dots, x_k} p_1^{x_1} p_2^{x_2} \dots p_k^{x_k}$$

$$f\left(2, 3, 1; 6, \frac{5}{11}, \frac{4}{11}, \frac{2}{11}\right) = \binom{6}{2, 3, 1} \left(\frac{5}{11}\right)^2 \left(\frac{4}{11}\right)^3 \left(\frac{2}{11}\right) = \frac{6!}{2!3!1!} \left(\frac{5}{11}\right)^2 \left(\frac{4}{11}\right)^3 \left(\frac{2}{11}\right)$$

5. GEOMETRIC DISTRIBUTION

Definition: Consider a Bernoulli trial. If X represents the number of trials on which the **first success occurs**, then the geometric distribution is given by

$$g(x; p) = q^{x-1}p \quad x = 1, 2, 3, \dots$$

X: Number of Bernoulli trials required to achieve a success

The parameter of this probability distribution is p . Let's show that $g(x; p)$ is a probability function:

i) $g(x; p) \geq 0$

ii) Since this is a geometric sequence,

$$\sum_{x=1}^{\infty} g(x; p) = \sum_{x=1}^{\infty} q^{x-1}p = p(1 + q + q^2 + q^3 + \dots) = p \frac{1}{1-q} = 1$$

} Probability distribution

Moment Generating Function, Expected Value and Variance Of The Geometric Distribution

a) By using the definition of moment generating function;

$$\begin{aligned} M(t) &= E[e^{tX}] = \sum_{x=1}^{\infty} e^{tx} pq^{x-1} = p \sum_{x=1}^{\infty} e^{tx} q^{x-1} = \frac{p}{q} \sum_{x=1}^{\infty} e^{tx} q^x \\ &= \frac{p}{q} \sum_{x=1}^{\infty} (e^t q)^x = \frac{p}{q} \left[e^t q + (e^t q)^2 + \dots \right] \end{aligned}$$

Sum of the geometric sequence in square brackets

$$e^t q \cdot \frac{1}{1 - e^t q}$$

$$M(t) = \frac{p}{q} e^t q \frac{1}{1 - e^t q} = \frac{pe^t}{1 - e^t q}$$

$$M'(t) = \frac{pe^t(1 - e^t q) + pqe^{2t}}{(1 - e^t q)^2}$$

$$M'(0) = E(X) = \frac{p(1 - q) + pq}{(1 - q)^2} = \frac{p^2 + pq}{p^2} = \frac{p(p + q)}{p^2} = \frac{1}{p}$$

$$M''(0) = E(X^2) = \frac{2q + p}{p^2}$$

So variance,

$$\text{Var}(X) = M''(0) - [M'(0)]^2$$

$$\text{Var}(X) = \frac{2q + p}{p^2} - \frac{1}{p^2} = \frac{q}{p^2}$$

b) By using the definition of the expected value and variance of an X random variable,

$$E(X) = \mu = \sum_{x=1}^n x \cdot p(x) = \sum_{x=1}^n x \cdot q^{x-1} \cdot p = p \cdot \frac{d}{dq} \left[\sum_{x=1}^{\infty} q^x \right]$$

$$= p \cdot \frac{d}{dq} \left[\frac{q}{1-q} \right] = p \left[\frac{1 \cdot (1-q) - q(-1)}{(1-q)^2} \right] = p \frac{1}{(1-q)^2} = \frac{1}{p}$$

$$E(X^2) = \sum_{x=1}^n x^2 \cdot p q^{x-1} = p \sum_{x=1}^n (x(x-1) + x) q^{x-1} = pq \sum_{x=1}^n (x(x-1) + x) q^{x-2} = pq \sum_{x=1}^n (x(x-1)) q^{x-2} + E(X)$$

$$pq \frac{d^2}{dq^2} \left[\sum_{x=1}^{\infty} q^x \right] + \frac{1}{p} = pq \frac{d^2}{dq^2} \left[\frac{q}{1-q} \right] + \frac{1}{p} = pq \frac{d}{dq} \left[\frac{1}{(1-q)^2} \right] + \frac{1}{p} = pq \left[\frac{2}{(1-q)^3} \right] + \frac{1}{p}$$

$$= pq \left[\frac{2}{(1-q)^3} \right] + \frac{1}{p} = pq \left[\frac{2}{p^3} \right] + \frac{1}{p} = \frac{2q}{p^2} + \frac{1}{p} = \frac{2q+p}{p^2}$$

$$\text{Var}(X) = \frac{2q+p}{p^2} - \frac{1}{p^2} = \frac{2q}{p^2} + \frac{p}{p^2} - \frac{1}{p^2} = \frac{2q}{p^2} - \frac{q}{p^2} = \frac{q}{p^2} = \frac{1-p}{p^2}$$

EXAMPLE

If the probability is 0.75 that an applicant for a driver's license will pass the road test on any given try, what is the probability that an applicant will finally pass the test on the fourth try?

Solution

Substituting $x = 4$ and $p = 0.75$ into the formula for the geometric distribution, we get

$$\begin{aligned}g(4; 0.75) &= 0.75(1 - 0.75)^{4-1} \\&= 0.75(0.25)^3 \\&= 0.0117\end{aligned}$$

Of course, this result is based on the assumption that the trials are all independent,

Example: Let a die be rolled until it comes up 1.

- a) For the number of trials, define an appropriate probability function,
- b) Find the probability that the die will come up 1 at the third trial.

Solution:

$$\text{a) } f(x) = g\left(x; \frac{1}{6}\right) = \left(\frac{5}{6}\right)^{x-1} \frac{1}{6} \quad x = 1, 2, 3, \dots$$

$$\text{b) } P(X = 3) = g\left(3; \frac{1}{6}\right) = \left(\frac{5}{6}\right)^{3-1} \frac{1}{6} = \frac{25}{216}$$

6. NEGATIVE BINOMIAL (PASCAL) DISTRIBUTION

Definition: Consider a Bernoulli trial. If X represents the number of trials on which the **k -th success occurs**, then the negative binomial distribution is given by

$$b^*(x; k, p) = \binom{x-1}{k-1} p^k q^{x-k} \quad x = k, k+1, k+2, \dots$$

which means $P(X=x)$. It is also called Pascal probability function.

X: Number of Bernoulli trials required to achieve k success

while $k-1$ successful result will be obtained from $x-1$ experiment, k -th success will be achieved in experiment x . Negative Binomial distribution is the general form of Geometric distribution.

Let's investigate whether b^* is a probability function.

i) For $\forall x \quad b^*(x; k, p) \geq 0$ $x - k = t$ → $\binom{n}{k} = \binom{n}{n-k}$

ii)
$$\sum_{x=k}^{\infty} \binom{x-1}{k-1} p^k q^{x-k} = \sum_{t=0}^{\infty} \binom{t+k-1}{k-1} p^k q^t = \sum_{t=0}^{\infty} \binom{t+k-1}{t} p^k q^t =$$

n is **not a natural number**

$$(a+b)^n = \sum_{r=0}^{\infty} \binom{n}{r} a^{n-r} b^r$$

$= p^k (1-q)^{-k} = 1$

$$\binom{-r}{k} = (-1)^k \binom{r+k-1}{k}$$

$$\sum_{t=0}^{\infty} \binom{t+k-1}{t} (q)^t = \sum_{t=0}^{\infty} \binom{-k}{t} (-q)^t = (1-q)^{-k}$$

Note: Negative binomial distribution with $k = 1$ turns into a geometric distribution.

Expected Value and Variance Of The Negative Binomial Distribution

By using the definition of the expected value and variance of an X random variable,

X_1 : Number of attempts required until first success

X_2 : The number of attempts required until the second success after the first success

.

X_k : The number of attempts required until the k^{th} success after the $k-1$ success

X: The number of experiments required to achieve k successful results

$$X = X_1 + X_2 + \dots + X_k$$

X_i are the random variables of geometric distribution

$$E[X_i] = \frac{1}{p}$$

$$E[X] = E[X_1] + E[X_2] + \dots + E[X_k]$$

$$= \frac{1}{p} + \frac{1}{p} + \dots + \frac{1}{p} = k \cdot \frac{1}{p}$$

For variance

$$\text{Var}[X_i] = \frac{q}{p^2}$$

$$\text{Var}[X] = \text{Var}[X_1] + \text{Var}[X_2] + \dots + \text{Var}[X_k]$$

$$\text{Var}[X] = \frac{kq}{p^2}$$

Note:

$$b^*(x; k, p) = \frac{k}{x} \cdot b(x; k, p)$$

EXAMPLE

If the probability is 0.40 that a child exposed to a certain contagious disease will catch it, what is the probability that the tenth child exposed to the disease will be the third to catch it?

Solution

Substituting $x = 10$, $k = 3$, and $p = 0.40$ into the formula for the negative binomial distribution, we get

$$b^*(x; k, p) = \binom{x-1}{k-1} p^k q^{x-k}$$

$$x = k, k+1, k+2, \dots$$

$$\begin{aligned} b^*(10; 3, 0.40) &= \binom{9}{2} (0.40)^3 (0.60)^7 \\ &= 0.0645 \end{aligned}$$

Use Theorem: $b^*(x; k, p) = \frac{k}{x} \cdot b(x; k, p)$ to rework Example

Solution

Substituting $x = 10$, $k = 3$, and $p = 0.40$ into the formula

$$\begin{aligned} b^*(10; 3, 0.40) &= \frac{3}{10} \cdot b(3; 10, 0.40) \\ &= \frac{3}{10} (0.2150) \\ &= 0.0645 \end{aligned}$$

$$b(x; n, p) = \binom{n}{x} p^x (1-p)^{n-x} \quad x = 0, 1, 2, \dots, n$$

Example: 10% of the goods produced in a factory are defective. In a quality control process, find the probability that

- a) The second defective good is the seventh good that have been checked,
- b) More than 7 goods to be checked in order to obtain the second defective good.

Solution:

$$b^*(x; k, p) = \binom{x-1}{k-1} p^k q^{x-k} \quad x = k, k+1, k+2, \dots$$

a) $P(X = 2) = b^*(7; 2, 0.1) = \binom{7-1}{2-1} (0.1)^2 (0.9)^{7-2} = 0.0354 \quad x = k, k+1, k+2, \dots$

b) $P(X > 7) = 1 - P(X \leq 7) = 1 - [P(X = 2) + P(X = 3) + \dots + P(X = 7)] = 0.8503$